PUBLICATION INS-010

PROGRAM OPERATIONS MANUAL

Governance · Organization · Transaction Lifecycle · Systems · Compliance

Prepared by

HGF Management Company — Program Administrator

INSITE™ Development Impact Fee Financing Program

DOCUMENT CONTROL

Publication number	INS-010
Version	1.0 (Draft)
Status	Draft for founder review
Publication date	July 2026
Owner	INSITE Program Administration
Classification	Internal — Confidential

Pre-launch program document. INSITE is a proposed program of HGF Management Company. Nothing herein is an offer or commitment of financing, legal, tax, or investment advice, or a securities solicitation. Program structure, eligibility, pricing, and availability are subject to public issuer approval, bond counsel review, and market conditions.

CHAPTER 1 — PURPOSE, SCOPE & DEFINITIONS

1.1 Purpose

This manual defines how the INSITE Program operates as a business: who does what, in what order, under which controls, and with what evidence. It is the master operating document of the publication library. Every other INSITE publication is a subsystem of the lifecycle defined here.

1.2 Scope

INS-010 governs the INSITE Development Impact Fee Financing Program administered by HGF Management Company. It covers governance and issuer relationships, organization and staffing, the end-to-end transaction lifecycle, subcontracted functions, systems and data, the compliance calendar, quality control, and performance standards. It does not restate the technical content of the valuation (INS-100 series), origination (INS-200), underwriting (INS-300), execution (INS-400), administration (INS-500), or agency (INS-600) publications; it assigns and sequences them.

1.3 Program in one paragraph

INSITE is a proposed California land-secured financing platform for small residential projects (approximately 2–50 lots; typical project ≈10 lots). Eligible public development impact fees and public improvements are financed through Community Facilities District (CFD) special taxes authorized by the Mello-Roos Community Facilities Act of 1982 (Gov. Code § 53311 et seq.), collected on the county secured property tax roll, and repaid from privately placed, tax-secured notes. Comparable statewide land-secured programs exist — CSCDA's SCIP and CMFA's BOLD — and are tuned to larger balances; INSITE's differentiation is a standardized, annexation-based small-balance operating model, not a new legal mechanism.

1.4 Definitions

Term	Meaning
Program Administrator	HGF Management Company, operating the INSITE Program under agreement with the Issuer.
Issuer	The public agency that owns the district and issues the notes/bonds: a JPA partner or a participating city/county.
CFD	Community Facilities District formed under the Mello-Roos Act; levies a special tax secured by a continuing lien on taxable parcels.
Annexation	Addition of a project's parcels into an existing INSITE CFD (future annexation area), avoiding per-project district formation.
RMA	Rate and Method of Apportionment — the formula that determines each parcel's special tax.
Tax Roll Administrator (TRA)	Specialist firm that prepares the annual levy file, submits county direct charges, reconciles collections, and tracks delinquencies. Subcontracted initially.
Value-to-lien	Ratio of appraised property value to total land-secured debt. Statutory condition: 3:1 (Gov. Code § 53345.8). INSITE program policy: 4:1.
Purchaser	Bank, insurance company, or family office purchasing INSITE notes in a private placement.

CHAPTER 2 — GOVERNANCE & PROGRAM STRUCTURE

2.1 Legal and commercial structure

The operating entity is HGF Management Company (final entity form and state of organization to be confirmed with counsel; see Open Items). HGF owns the INSITE brand, publications, data, underwriting standards, technology, and agency/developer relationships. The public financing program itself is owned by the Issuer. This separation is deliberate: it keeps public-agency liability off INSITE and keeps INSITE's enterprise value (standards, systems, relationships) off the public books.

2.2 Issuer models

INSITE is designed to operate under both issuer models simultaneously; the public agency chooses its governance path while INSITE remains the operating platform.

Model	How it works	Best for	Trade-offs
A — JPA partner	An existing joint powers authority sponsors the district; projects annex in. Closest to the SCIP/BOLD pattern.	Fast launch; jurisdictions that prefer a familiar conduit.	Revenue sharing; less policy control; platform risk if JPA builds its own administrator.
B — Direct city / county	The local agency forms its own INSITE-administered CFD with a future annexation area; INSITE runs everything else.	Agencies with finance staff wanting local control; long-term enterprise value.	Per-agency council approvals, counsel review, and onboarding effort (INS-601).
Hybrid (target state)	Both models run in parallel; the INSITE brand and operating standards are constant across issuers.	Statewide scale.	Requires strict document and data uniformity — which is the point of this library.

2.3 Division of functions (Issuer vs. Program Administrator)

Function	Issuer	INSITE (Program Administrator)
Owns the public program	✓	
Adopts resolutions & local goals/policies (incl. appraisal standards)	✓	Drafts and recommends
Issues notes / bonds	✓	Assists and coordinates
Approves program policies	✓	Recommends
Program marketing		✓
Developer onboarding & customer service		✓
Underwriting (INS-301)		✓
Appraisal management (INS-101/102)		✓
Transaction documentation (INS-401)		✓
Funding coordination		✓
Annual administration & levy calculation (INS-501)		✓ (TRA subcontract initially)
Tax roll preparation & county submission		✓ (TRA subcontract initially)
Delinquency monitoring & escalation		✓

Function	Issuer	INSITE (Program Administrator)
Investor reporting		✓

Design principle

The Issuer keeps every governmental decision. INSITE keeps every operational function. Nothing in this manual delegates a discretionary public act to the Administrator.

2.4 Subcontracted functions at launch

1. RMA & Program Design Consultant (one-time engagement): designs the standardized RMA, annual tax formula, prepayment methodology, annexation methodology, and value-to-lien mechanics adopted by each Issuer.
2. Tax Roll Administrator (ongoing): prepares annual levies, creates and submits county tax-roll files, reconciles collections, calculates prepayments, tracks delinquencies, and supports trustee/investor reporting. Engaging an established firm buys credibility with agencies while INSITE retains the administrator relationship and recurring revenue.
3. Program Administration & Operations Consultant (as-needed): pressure-tests this manual, internal controls, and software requirements against incumbent practice.

Bond counsel is engaged per issuance by the Issuer (or by HGF for self-funded pilot costs). Candidate firms identified by the founder for outreach — not engaged, not endorsed — are Weist Law; Law Offices of Alexis S. M. Chiu; and Dannis Woliver Kelley.

2.5 Revenue model

Stream	Basis	When earned	Notes
Origination / program fee	Fixed fee or % of financed amount per closed annexation	At closing, from proceeds or developer deposit	Sized so a ≈10-lot deal clears all third-party costs; founder's targeted all-in execution cost per annexation is $5,000–$30,000 (founder estimate — validate with real quotes).
Annual administration fee	Per-parcel or per-district fee embedded in the RMA's administrative expense component	Each levy year for the life of the special tax	The recurring, compounding asset of the business.
Application / screening fee	Flat fee at Stage 2–3	On submission	Covers screening cost; credited at closing (policy decision — Open Items).
Ancillary	Prepayment processing, estoppel/payoff letters, data services	As incurred	Priced per published fee schedule.

CHAPTER 3 — ORGANIZATION, ROLES & RACI

3.1 Launch organization (Phase 1: pilot through first ~10 annexations)

Role	Held by (launch)	Core responsibilities
Program Principal	Dennis Lanni	Issuer & purchaser relationships; final credit approval; policy.
Program Operations Lead	Founder-designate / first hire	Runs Stages 1–7 day-to-day; owns the pipeline and this manual.
Content & Communications	Outside engagement (as assigned)	Publications, brand, agency-facing materials, website.
Underwriting Reviewer	Principal + contract MAI reviewer	INS-301 reviews; scorecards; exceptions.
RMA / Special Tax Consultant	Subcontract (one-time + per-deal)	RMA application; annexation tax exhibits.
Tax Roll Administrator	Subcontract (ongoing)	INS-501 execution: levy, county files, delinquency, prepayments.
Bond Counsel	Per issuance	Formation/annexation validity; note documents; opinions.
Appraisal Panel	Preferred MAI providers (INS-102)	INS-101-conforming appraisals.

3.2 RACI by lifecycle stage

R = Responsible · A = Accountable · C = Consulted · I = Informed. Ops = Operations Lead; Prin = Principal; UW = Underwriting Reviewer; RMA = special tax consultant; TRA = tax roll administrator; BC = bond counsel; Dev = developer; Iss = issuer.

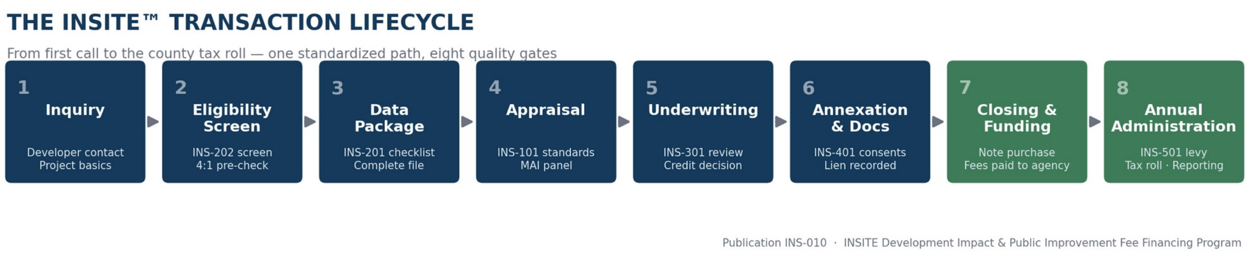
Stage	Ops	Prin	UW	RMA	TRA	BC	Iss
1 Inquiry	R/A	I					
2 Eligibility screen (INS-202)	R	A	C				I
3 Data package (INS-201)	R/A	I	C				
4 Appraisal (INS-101/102)	R	A	C				
5 Underwriting (INS-301)	C	A	R	C			
6 Annexation & docs (INS-401)	R	A		C	I	R	C
7 Closing & funding	R	A	I		I	R	C
8 Annual administration (INS-501)	A	I		C	R	C	I

3.3 Delegations and approval authority

- Eligibility pass/fail at Stage 2: Operations Lead, per INS-202 criteria; any exception requires Principal sign-off in writing.
- Credit approval at Stage 5: Principal, on a completed INS-301 file with scorecard ≥ 80 and 4:1 test met; conditions documented on the approval memo.

- Document release at Stage 6: only bond-counsel-approved templates; no ad hoc edits outside bracketed fields.
- Funding authorization at Stage 7: Principal, after the INS-401 closing checklist is 100% complete.

CHAPTER 4 — THE TRANSACTION LIFECYCLE



4.1 Stage table — owners, inputs, outputs, service levels

#	Stage	Owner	Key input	Exit gate (output)	Target SLA
1	Inquiry	Ops	Contact + project basics	Logged opportunity; INS-202 screen scheduled	1 business day
2	Eligibility screen	Ops	INS-202.01 screening form	Pass/fail letter; preliminary sizing	3 business days
3	Data package	Dev + Ops	INS-201 checklist items	Certified complete package	Dev-paced; 2-day completeness review
4	Appraisal	Ops	Package to panel appraiser	INS-101-conforming report	15–20 business days (engagement letter)
5	Underwriting	UW/Prin	Appraisal + package	Approval memo w/ conditions; max financing	5 business days
6	Annexation & docs	Ops + BC	Approval memo	Executed consents; lien notice recorded	10–15 business days
7	Closing & funding	Ops + BC	Recorded lien; purchaser sign-off	Notes funded; fees paid to agency; file archived	5 business days
8	Annual administration	TRA/Ops	Closed-deal data record	Levy on county roll; annual report issued	Per compliance calendar

4.2 Stage QC gates

- Gate 2→3: no appraisal is ordered before the INS-201 minimum package is certified complete (mirrors INS-101/INS-301 intake rules).
- Gate 5→6: no documents are released before written credit approval and issuer confirmation of fee eligibility.
- Gate 6→7: no funding before recorded Notice of Special Tax Lien and a fully executed closing checklist.

- Gate 7→8: no file leaves Stage 7 until the levy-system record (APNs, RMA class, principal, schedule) is entered and independently re-keyed or verified.

4.3 Pipeline states and data record

Every opportunity carries exactly one state: LEAD → SCREENED-PASS / SCREENED-FAIL → PACKAGE-IN-PROGRESS → PACKAGE-COMPLETE → APPRAISAL-ORDERED → APPRAISAL-RECEIVED → UW-APPROVED / UW-DECLINED / UW-CONDITIONS → DOCS-OUT → RECORDED → FUNDED → ADMINISTERED. State changes are timestamped with an owner; the pipeline report (Ch. 9) is generated from these states, never assembled by hand.

CHAPTER 5 — PUBLICATION ARCHITECTURE & DOCUMENT CONTROL

The publication library is the operating system of the program. Numbering: INS-<series><doc>. Series: 000 governance/brand · 100 valuation · 200 origination · 300 underwriting · 400 execution · 500 administration · 600 public agencies. Forms carry the parent number plus a two-digit suffix (e.g., INS-202.01 Screening Form).

Pub	Title	Series	Status (July 2026)
INS-001	Brand Standards & Publication Manual	000	Draft v1.0
INS-002	Program Whitepaper — Overview & Market Analysis	000	Issued this release
INS-010	Program Operations Manual (this document)	000	Draft v1.0
INS-101	Appraisal Standards Manual	100	Issued (JULY2026)
INS-102	Preferred MAI Appraisal Provider RFQP	100	Issued (JULY2026)
INS-102A	Standard DCF & Bulk Sale Analysis Workbook	100	v1.0
INS-201	Developer Data Package Checklist	200	Issued this release
INS-202	Developer Intake & Eligibility Manual	200	Issued this release
INS-301	Appraisal Review & Underwriting Manual	300	Founder draft
INS-401	Transaction Execution Manual	400	Issued this release
INS-501	Annual Administration & Tax Roll Manual	500	Issued this release
INS-601	Public Agency Onboarding Guide	600	Issued this release

5.1 Version control rules

- Single source of truth per publication; versions are X.Y (major.minor) with a revision-history table maintained in the master file.
- Only the Operations Lead issues versions; superseded versions are watermarked and archived, never deleted.
- Bond-counsel-controlled legal templates are stored separately from program manuals and change only with counsel sign-off.
- Every external release carries the standard pre-launch disclaimer until the pilot closes.

CHAPTER 6 — SYSTEMS & DATA REQUIREMENTS

6.1 Minimum viable stack (Phase 1)

Capability	Requirement	Phase-1 implementation
Pipeline / CRM	Track states in §4.3 with timestamps, owners, and documents linked	Structured spreadsheet or lightweight CRM; export to CSV weekly
Document management	Immutable deal folders matching INS-201 folder structure; versioned publications	Cloud drive with locked folder template + naming convention
Levy & parcel database	One row per APN: RMA class, principal, annual tax, status, payoff data	Maintained by TRA; INSITE holds a mirrored read-only copy, reconciled quarterly
Calculation engine	Preliminary sizing, 4:1 test, prepayment quotes	INS-102A-style controlled workbooks with locked formula cells
Reporting	Pipeline, portfolio, delinquency, investor packages	Generated from CRM + levy mirror; no hand-built numbers

6.2 Data standards

- APN is the primary key everywhere; every record ties to county assessor formatting for the relevant county.
- Money fields carry cents; dates are ISO (YYYY-MM-DD) in systems, long-form in publications.
- Two-person verification (maker/checker) on any data that feeds a levy, payoff, or investor report.
- Developer personal/financial information is confidential: least-privilege access, no data leaves the deal folder except to parties under NDA or engagement.

6.3 Automation roadmap

The manuals are written procedure-first so each step can later be encoded: intake portal generating the INS-202.01 record; document assembly from approved templates; levy-file generation per county format; and AI-assisted completeness review of INS-201 packages. Automation follows the paper process — never precedes it.

CHAPTER 7 — COMPLIANCE CALENDAR & EXTERNAL REPORTING

7.1 Annual operating calendar (fiscal year July 1 – June 30)

Window	Activity	Owner	Publication
July	Confirm parcel changes (maps recorded, transfers); freeze levy database	TRA/Ops	INS-501 §2
July–early August	Compute annual special tax per RMA; QC maker/checker; submit county direct-charge file by each county's deadline	TRA	INS-501 §3
September	Issuer/board information report on program activity (if required by program agreement)	Ops	INS-601
December / April	Monitor secured-roll installment collections; flag delinquencies after each installment date	TRA/Ops	INS-501 §5
January	Annual investor reporting package for prior calendar year	Ops	INS-501 §6

Window	Activity	Owner	Publication
Rolling	Prepayment quotes and lien releases within published SLA	TRA/Ops	INS-501 §4
Per issuance	State debt-issuance reports (CDIAC) and any agreed noteholder notices	BC/Ops	INS-401

CONFIRM BEFORE RELIANCE

County direct-charge submission deadlines, secured-roll installment/delinquency dates, and CDIAC report-of-issuance timing vary and were not independently verified in this release. Before the first levy year: (1) obtain each county Auditor-Controller's direct-charge calendar and file specification in writing; (2) have bond counsel confirm all state reporting obligations for privately placed land-secured notes, including CDIAC reports under Gov. Code § 8855.

7.2 Records retention

Full deal files are retained for the life of the special tax plus five years. Levy files, county confirmations, and payoff calculations are retained permanently. Superseded publications are archived per §5.1.

CHAPTER 8 — RISK MANAGEMENT & QUALITY CONTROL

Risk	Primary control	Where documented
Ineligible costs financed (public-purpose failure)	Issuer confirmation of fee eligibility before docs; counsel review; fee-schedule evidence in file	INS-202 §3; INS-401
Over-advance vs. collateral	3:1 statutory determination + 4:1 INSITE policy computed on the INS-101 appraisal; recomputed at closing if debt stack changed	INS-301; INS-101 Ch.9
Appraisal quality	Preferred-panel RFQP, INS-101 standards, INS-301 scorecard ≥ 80 to fund	INS-101/102/301
Documentation defects	Counsel-controlled templates; closing checklist; recorded-lien verification before funding	INS-401
Levy errors	Maker/checker on levy file; county confirmation reconciled to database; annual audit sample	INS-501 §3
Delinquency / foreclosure exposure	Covenant-driven escalation ladder with dates and owners; purchaser notice thresholds	INS-501 §5
Key-person / subcontractor failure	Documented procedures (this library); TRA contract with data-return clause; annual cross-training	INS-010
Reputation (over-claiming)	Claims Register discipline; standard disclaimer; no first-mover or unverified pricing claims in any external material	01_EVIDENCE Claims Register

CHAPTER 9 — PERFORMANCE STANDARDS & KPIS

KPI	Definition	Phase-1 target
Screen turnaround	Stage 2 SLA attainment	≥ 90% within 3 business days

KPI	Definition	Phase-1 target
Package-to-appraisal cycle	Certified package → appraisal ordered	≤ 2 business days
End-to-end cycle time	Screen pass → funded	≤ 75 business days median
Underwriting quality	Files funded with scorecard ≥ 80 and zero waived gates	100%
Levy accuracy	County-confirmed charges matching computed levy	100%; any exception root-caused in writing
Delinquency response	Escalation actions taken on covenant schedule	100% on time
Portfolio health	Special-tax delinquency rate vs. county average	Track from first levy year; report to purchasers

KPIs are produced from system states (§4.3) and the levy mirror (§6.1). The Operations Lead reports them monthly to the Principal and quarterly to Issuer partners as agreed.

CHAPTER 10 — OPEN ITEMS (GOVERNING LIST IN THE BUILD LOG)

4. Entity confirmation: HGF Management Company LLC vs. new entity; state of organization and tax posture (founder raised NV/Tahoe — needs CA tax counsel, not assumption).
5. Trademark clearance for INSITE (a live registration exists in the software class; financial-services classes require professional search).
6. Executed subcontracts: RMA consultant and Tax Roll Administrator — with written per-deal and per-parcel pricing to replace founder cost estimates.
7. County calendars and file specs (§7.1 verification note).
8. Application-fee credit policy (§2.5).
9. Program name: whether "School Fee" remains in the formal name while school fees are outside initial eligibility.